Report To Shareholders
Management's Discussion and Analysis

The Company's earnings for the third quarter improved significantly from the first half of 2008 due to a decline in wheat and energy prices late in the quarter. In combination with price increases implemented earlier in the year, Management expects margins to continue to improve through the end of the year.

Financial Overview

Sales for the third quarter increased 14.8% to $443.1 million compared to the same period last year due to higher selling prices and contributions from acquisitions. Excluding acquisitions, sales for the quarter increased by 9.7% compared to last year. Year-to-date, sales increased 12.8% to $1,263.4 million.

Earnings from operations before restructuring and other related costs and other income ("Adjusted Operating Earnings") were $31.9 million for the third quarter compared to $34.1 million last year, as price increases implemented earlier in the year largely offset higher wheat and oil prices in the period. Net earnings before restructuring and other related costs for the quarter were $23.7 million ($0.93 per share), compared to $21.1 million ($0.83 per share) last year. Year-to-date earnings per share, on a comparable basis, were $1.75 compared to $2.43 last year.

Following is a summary of net earnings and earnings per share ("EPS") before restructuring and other related costs ("Adjusted EPS"):

($ millions)	Third Quarter			Year-to-Date		
	2008	2007	Change	**2008**	2007	Change
Net Earnings	**$ 19.7**	$ 21.1	(6.4)%	**$ 38.5**	$ 60.2	(36.1)%
Restructuring and other related costs, net of tax	**4.0**	0.0	N/A	**5.9**	1.5	294.5 %
Net earnings before restructuring and other related costs (i)	**$ 23.7**	$ 21.1	12.6 %	**$ 44.4**	$ 61.7	(28.0)%
Adjusted EPS (i)	**$ 0.93**	$ 0.83	12.6 %	**$ 1.75**	$ 2.43	(28.0)%

(i) *These are not recognized measures under Canadian GAAP. Management believes that this is the most appropriate basis on which to evaluate results, as restructuring and other related costs are not representative of continuing operations.*

Business Segment Review

The following table summarizes Adjusted Operating Earnings by business segment:

($ millions)	Third Quarter			Year-to-Date		
	2008	2007	Change	**2008**	2007	Change
Fresh Bakery	**$ 26.0**	$ 24.9	4.1 %	**$ 51.1**	$ 72.7	(29.7)%
Frozen Bakery	**5.9**	9.2	(35.9)%	**12.7**	25.4	(50.0)%
	$ 31.9	$ 34.1	(6.6)%	**$ 63.8**	$ 98.1	(34.9)%

Fresh Bakery *(Fresh bakery products, specialty baked goods and hand-held snacks, and fresh pasta and sauces)*

Fresh Bakery sales for the third quarter increased 19.2% to $290.2 million compared to $243.5 million last year, largely due to price increases and contributions from acquisitions. Excluding acquisitions, sales increased by 13.8% compared to last year.

Adjusted Operating Earnings for the quarter were $26.0 million compared to $24.9 million last year. Earnings were significantly impacted in the first half of 2008 by an unprecedented rise in commodity prices. Price increases implemented late in 2007 and early 2008 contributed to results in the third quarter, but have not offset prior losses. In the early part of the quarter, earnings across the business were affected by high wheat and oil prices, which began to decline towards the end of the quarter. Management anticipates that the combination of the price increases implemented earlier in the year and lower commodity prices will continue to improve margins through the end of the year. In the third quarter, earnings were also affected by increased investment in marketing and innovation initiatives.

Frozen Bakery *(North American and U.K. frozen bakery products; including frozen par-baked and specialty bakery products)*

Frozen Bakery sales increased by 7.4% to $152.9 million from $142.3 million last year due to increased prices and contributions from acquisitions. Excluding acquisitions, sales increased by 2.7% compared to last year.

Adjusted Operating Earnings for the quarter declined to $5.9 million from $9.2 million last year. Similar to the Fresh Bakery segment, Frozen Bakery benefited from price increases implemented earlier in the year and the decline in wheat costs towards the end of the quarter. Offsetting these benefits was a decline in sales and earnings in the U.K. as bagel sales growth was lower than the prior year, due to the effects of a fire on its principal bagel line at the plant in Rotherham that occurred earlier in the year. Additional operating costs were also incurred in commissioning the new oven.

In the third quarter, the Company received an interim insurance settlement of $4.8 million (recorded in Other Income) to cover business interruption losses resulting from the fire at its bagel plant. The Company has received $6.5 million year-to-date and based on final settlement of costs and impact to the business, expects to receive further insurance proceeds in the fourth quarter and in the first quarter of 2009.

As part of its acquisition integration activity, the U.K. bakery is taking steps to further reduce costs and improve operating efficiencies. This includes the closure of two small bakery operations announced in the quarter, with production from these facilities, primarily croissants and bagels, being transferred to the Company's larger bakeries in Maidstone and Rotherham.

In continuation of its initiatives to increase the profitability of its North American frozen bakery business, the Company closed a bagel plant in Toronto and shifted production to other regional facilities. A bagel line is also being commissioned at its bakery in Roanoke, Virginia, which will move production closer to customers and reduce transportation costs.

Gross Margin

Gross margin decreased by 1.9% to $79.6 million for the quarter from $81.1 million last year. The decline in gross margin was driven by lower volumes and the oven commissioning costs that resulted from the fire at the bagel facility.

SG&A

Selling, general and administrative expenses increased to $47.7 million compared to $47.0 million for the prior year. Increased investment in innovation and marketing of new products within Fresh Bakery was offset by deferred promotional activity in the U.K. due to the oven fire and its impact on capacity.

Other Income

Other income for the third quarter was $4.8 million, mainly due to insurance proceeds which partially reimburse the Company for excess operating costs incurred as a result of an oven fire at the U.K. bakery. As these proceeds represent a recovery of costs and lost profits, they should be considered in combination with the Bakery Group operating results.

Restructuring and Other Related Costs

During the third quarter of 2008, the Company recorded a charge for restructuring and other related costs of $5.7 million (2007: $nil) due to plant closures in the United Kingdom and Canada. Year-to-date, restructuring charges were $8.4 million (2007: $2.2 million).

Cash Flow and Financing

Cash flow from operating activities was $41.4 million for the third quarter compared to $30.9 million in the prior year period. The increase is largely attributable to a reduction in accounts receivable during the quarter due to lower sales volumes in the U.K. Year-to-date cash flow from operating activities was $55.2 million compared to $88.1 million last year. The year-to-date decrease is the result of lower net earnings and increased investment in inventory due to higher wheat costs.

Historically, the Company generates a significant amount of operating cash flow that has more than covered financing needs related to operational capital expenditures and restructuring costs. These operating cash flows provide a strong base of underlying liquidity, which the Company has supplemented with credit facilities to provide longer-term funding and surplus liquidity. During the quarter, the Company amended its primary credit facility provided by Maple Leaf Foods Inc. The effect of the amendment was to extend the maturity date to December 27, 2011 and a modest increase in the pricing to reflect increases in market pricing for similar loans. The facility is unsecured and is subject to certain financial covenants. As at September 30, 2008, the Company was compliant with all of its financial covenants.

The Company is exposed to fluctuations in the prices of raw materials, seasonal and other market-related price changes, particularly wheat costs. Due to the high sales volumes and rapid turnover of inventories, the impact of these price fluctuations is generally short term. When commodity price increases are significant, it can increase the funding required for investments in working capital. These working capital requirements will be funded from operating cash flow and from existing credit facilities. Management is of the opinion that its operating cash flow and existing credit facilities provide the Company with sufficient resources to finance ongoing business requirements and its planned capital investment program.

As at September 30, 2008, the Company had available undrawn committed credit of $171.6 million under the terms of its principal credit facility with Maple Leaf Foods Inc.

Interest expense for the third quarter increased to $2.1 million compared to $1.4 million last year. The variance was driven by a decline in interest income generated by the Company's five-year cross-currency swap, which matured and was settled on January 1, 2008. This settled swap generated interest income of $1.1 million in the third quarter of 2007. The decline in interest income was partially offset by a decrease in interest expense as a result of lower average debt balances compared to the previous year and lower short-term interest rates. Year-to-date interest expense was $6.0 million compared to $4.1 million.

Capital expenditures on plant and equipment for the third quarter were $14.2 million compared to $22.1 million last year.

Taxes

The Company's effective tax rate decreased to 31.5% from 35.6% last year, primarily the result of restructuring and other related costs in the third quarter that are deductible at an effective tax rate of 30.2%.

Summary of Quarterly Results

The following is a summary of unaudited quarterly financial information for the seven interim periods ended September 30, 2008 (in thousands of dollars except per share information):

		First Quarter	Second Quarter	Third Quarter	Fourth Quarter	Total
Sales	**2008**	$ 382,869	$ 437,418	**$ 443,086**		**$1,263,373**
	2007	358,337	375,723	385,849	$ 393,270	1,513,179
Net earnings	**2008**	$ 12,211	$ 6,538	**$ 19,727**		**$ 38,476**
	2007	17,910	21,225	21,087	$ 23,529	83,751
Earnings per share						
Basic EPS	**2008**	$ 0.48	$ 0.26	**$ 0.77**		**$ 1.51**
	2007	0.70	0.84	0.83	$ 0.93	3.30
Adjusted EPS [(i) (ii)]	**2008**	$ 0.52	$ 0.30	**$ 0.93**		**$ 1.75**
	2007	0.76	0.84	0.83	$ 0.88	3.31
Diluted EPS	**2008**	$ 0.48	$ 0.26	**$ 0.77**		**$ 1.51**
	2007	0.70	0.84	0.83	$ 0.93	3.30

(i) *Earnings per share before restructuring and other related costs and certain non-recurring tax adjustments.*
(ii) *Does not add due to rounding.*

For an explanation and analysis of quarterly results, refer to Management's Discussion and Analysis for each of the respective quarterly periods filed on SEDAR and also available on the Company's website at www.canadabread.ca.

Changes in Accounting Policies

In January 2006, the Accounting Standards Board (the "AcSB") announced its decision to require all publicly accountable enterprises to report under International Financial Reporting Standards ("IFRS") for years beginning on or after January 1, 2011. As a result, financial reporting by Canadian publicly accountable enterprises will change significantly from current Canadian GAAP to IFRS.

On February 13, 2008, the AcSB confirmed that publicly accountable enterprises will be required to use IFRS, as issued by the International Accounting Standards Board, unless modifications or additions to the requirements of IFRS are issued by the AcSB. IFRS must be adopted for interim and annual financial statements related to fiscal years beginning on or after January 1, 2011, with restatement of comparative periods.

The Company is currently assessing the future impact of these new standards on its consolidated financial statements.

In May 2007, the Accounting Standards Board issued CICA Handbook Section 3031, "Inventories". The standard introduces changes to the measurement and disclosure of inventory and is consistent with international accounting standards. The Company adopted the measurement provisions of the standard effective January 1, 2008. The adoption of the standard did not have a material impact on the results of operations or measurement of inventory.

In October 2006, the Accounting Standards Board issued CICA Handbook Section 3862, "Financial Instruments – Disclosure" and Section 3863, "Financial Instruments – Presentation" which replaces Section 3861, "Financial Instruments – Disclosure and Presentation". The new disclosure standards require increased disclosure of risks associated with recognized and unrecognized financial instruments and how those risks are managed. The standards carry forward the former presentation requirements of Section 3861. The Company has complied with the new disclosure requirements beginning in 2008.

In October 2006, the Accounting Standards Board issued CICA Handbook Section 1535, "Capital Disclosures", which establishes standards for disclosing information about an entity's capital and how it is managed. The Company has complied with the new disclosure requirements beginning in 2008.

Other Matters

On October 22, 2008, Canada Bread Company, Limited declared a dividend of $0.06 per share payable on January 2, 2009 to shareholders of record on December 8, 2008. Unless indicated otherwise, by the corporation, in writing at or before the time the dividend is paid, each dividend paid by the corporation in 2008 or a subsequent year is an eligible dividend for the purposes of the "Enhanced Dividend Tax Credit System".

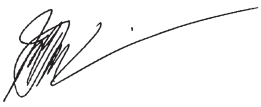
Forward-Looking Statements

This document contains, and the Company's oral and written public communications often contain, forward-looking statements that are based on current expectations, estimates, forecasts and projections about the industries in which the Company operates and beliefs and assumptions made by the Management of the Company. Such statements include, but are not limited to, statements with respect to our objectives and goals, as well as statements with respect to our beliefs, plans, objectives, expectations, anticipations, estimates and intentions. Words such as "expect", "anticipate", "intend", "attempt", "may", "will", "plan", "believe", "seek", "estimate", and variations of such words and similar expressions are intended to identify such forward-looking statements. These statements are not guarantees of future performance and involve assumptions and risks and uncertainties that are difficult to predict. In particular, these forward-looking statements are based on a variety of factors and assumptions including, but not limited to: the condition of the Canadian and United States economies; the magnitude of the rate of change of the Canadian dollar versus the U.S. dollar; the availability and prices of raw materials, energy and supplies; product pricing; the competitive environment and related market conditions; improvement of operating efficiencies; continued access to capital; the cost of compliance with environmental and health standards; adverse results from ongoing litigation; no expected actions of domestic and foreign governments and the general assumption that none of the risks identified under "Risk Factors" in the Company's 2007 Annual Information Form will materialize. These assumptions have been derived from information currently available to the Company including information obtained by the Company from third-party industry analysts. These assumptions may prove to be incorrect in whole or in part. In addition, actual results may differ materially from those expressed, implied or forecasted in such forward-looking statements. Factors that could cause actual results or outcomes to differ materially from the results expressed, implied or forecasted in such forward-looking statements are discussed more fully in the Company's Management's Discussion and Analysis for the year ended December 31, 2007, which is available on SEDAR at www.sedar.com. The Company does not intend, and the Company disclaims any obligation to update any forward-looking statements, whether written or oral, or whether as a result of new information, future events or otherwise except as required by law.

Canada Bread Company, Limited, which is 89.8% owned by Maple Leaf Foods Inc., is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company had 2007 sales of $1.5 billion and employs approximately 8,800 people at its operations across North America and in the United Kingdom.

For the Board of Directors,

Richard A. Lan
President and Chief Executive Officer



Michael H. McCain
Chairman
October 29, 2008